Illustration 2

Show the accounting equation on the basis of the following transactions for Rani, who is dealing in automobiles.

(i)	Started business with cash	` 80,000
(ii)	Goods bought on credit from Ramesh	` 10,000
(iii)	Purchased furniture for cash	` 6,000
(iv)	Paid creditors by cash	` 8,000

Solution

In the books of Rani

Transaction	Assets				Capital `	Creditors `
	Cash `	Stock `	Furniture `			
(i) Started business with cash	+80,000				+80,000	
Equation	**+80,000**			=	**+80,000**	
(ii) Credit purchases		+10,000				+10,000
Equation	**+80,000**	**+10,000**		=	**+80,000**	**+10,000**
(iii) Cash purchase of furniture	–6,000		+6,000			
Equation	**+74,000**	**+10,000**	**+6,000**	=	**+80,000**	**+10,000**
(iv) Paid creditors by cash	–8,000					–8,000
Equation	**+66,000**	**+10,000**	**+6,000**	=	**+80,000**	**+2,000**

Illustration 3

Show the accounting equation on the basis of the following:

(a)	Started business with cash	` 60,000
(b)	Purchased goods for cash	` 20,000
(c)	Sold goods for cash costing ` 10,000 for	` 15,000
(d)	Paid rent by cash	` 500

Solution

Transaction	Assets			Capital `
	Cash `	Stock `		
(a) Started business with cash	+60,000		=	+60,000
Equation	**+60,000**			**+60,000**
(b) Cash purchases	–20,000	+20,000		
Equation	**+40,000**	**+20,000**	=	**+60,000**
(c) Sold goods for cash	+15,000	–10,000		+5,000